Value Investing Meets Revolution Technology

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We always say that “We are Revolution Investors”. But to be clear, our approach is also about not just maximizing our potential gains, but also minimizing risk by understanding a company’s profit potential and, frankly, being a value investor — in our own Revolutionary way — within our Tech Revolution Investing framework. That said, we don’t simply look at a company’s P/E ratio or its Forward P/E ratio. Our approach is much more detailed, nuanced and deeper than that.

We’ve spent our careers being early investors in the most societally and economically impactful Tech Revolutions, but that’s just the start. From there, we study each company that we think will either build the Revolutionary platform or find an inflection point in the future from its positioning in any respective Revolution. We listen to company’s conference calls, study the management’s vision for the company and get a sense of just how brilliant (or not) each company’s CEOs and other executives are.

From there, we build a financial model for every company we ever analyze, whether we think we might buy the stock or not. We look out three, five, seven, even ten or fifteen years sometimes with out financial models, making assumptions about topline growth rates, gross margins, operating expense growth and more to get some semblance of an idea of just how profitable each company will be in the future.

It’s the five year numbers -- layered with our understanding of management’s vision and the Tech Revolution the company is positioned for -- that really drive our decision making process about whether a particular stock is a “good value”. When we’ve put in the hard work to get a sense of a company’s profit outlook five years out, we can then make some assumptions about what multiple that company will be trading at in five years if we’ve been right about the fundamentals (companies with stronger growth rates and high profitability typically trade at higher multiples than companies with slow or no growth and low profitability, obviously).

We can then model out what our expected annualized five-year return potential for each stock. Here’s a matrix of our current longs:

Ticker	Price/Profits 5 years out	Modeled 5-Year Annualized Return Potential (CAGR)
TSLA	9.6	22.90%
NVDA	11.6	18.50%
HOOD	17.1	11.89%
GTLB	13.3	17.71%
QCOM	5.5	29.43%
GOOG	9.4	21.56%
META	8.8	23.30%
CRM	9.2	22.19%
AMZN	10.0	20.22%
AAPL	17.9	10.91%
NFLX	16.2	13.17%
TSM	8.5	18.65%
TXN	14.9	9.04%
CRWV	5.6	26.13%

Believe it not, all this is still only the beginning of our work in being value Revolution Investors. We also build out complex algorithms that use our valuation and expected returns models along with Revolution Investing Rating (just how Revolutionary a company is positioned to be on an exponential ratings scale), downside risk potential, our conviction level, how near or far each respective Revolution is from impact and more.

I've been using this framework, modeling and algorithmic approach to Revolution Investing for decades now and it helps keep us in the most Revolutionary companies that this planet has ever seen and to help us avoid major drawdowns; like those that come with shotgun approaches to investing in every shiny object in any particular trillion dollar Tech Revolution.

I expect that some of our long-time holdings, including Apple, Google, Meta, Amazon, Tesla, etc, are the only companies that have the ability to spend trillions of dollars building the platforms upon which The AI Revolution and The Robotics Revolution will run. Most of these platform builders can easily go up another 10-20x over the next decade or so based on our financial and algorithmic models.

And as our job is also to try to find the stocks of some of the smaller companies that will go up 100x-200x like some of these names have for us already over the past few years and/or decades — and we think we have a handful of names that can go up like that over the next few years and decades like some of our existing positions have over the last few years and decades based on our financial and algorithmic models.

With this analysis in place, looking out over the next few years, I've never been more excited about the setup for Revolution Investing than I am right now.